The Origin of American P2P Lending and How It Has Been Shaped by the Regulatory Landscape

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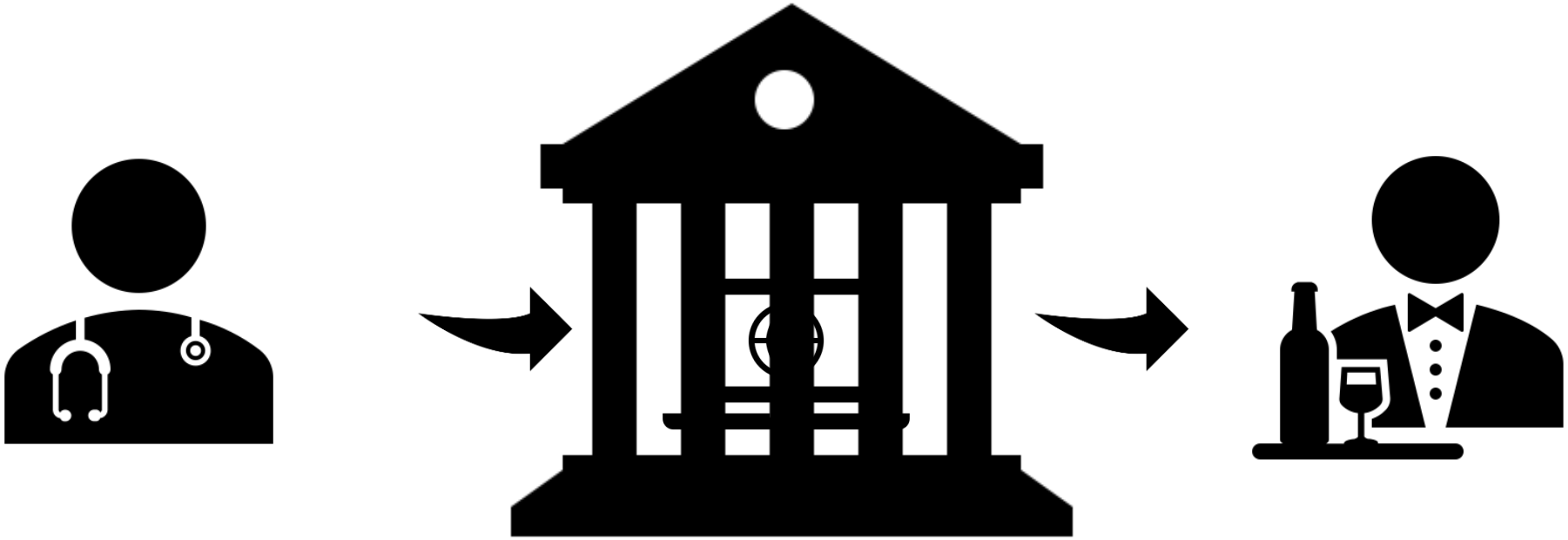
What is P2P Lending?



How they do it?

- Information Technology
- Internet and Communication
- People
- Efficiency
- Biggest/most prominent Fintech

The Dawn of American P2P Lending

- 2002: Circle Lending (Pure Facilitator)
- 2005: Kiva (Charity)
- 2005: Zopa (Marketplace UK)
- 2006: Prosper (Marketplace)
- 2007: LendingClub (Marketplace)

P2P lending business model

- Client Account Model
- Notary Model (Borrower Payment Dependent Note)
- Marketplace Model (Institutional Investor)
- Balance Sheet Model (From the book of platform)

Peer-to-peer Features in the Early Days

Social Network

Facebook Application

Mutual Friends / shared networks

Personal Profile

Soft/personal data

Unverified

Group Affiliation

Borrower Group

Group Leaders

P2P Lending vs Traditional Bank

:*The Socioeconomic Point of View*

- Interpersonal Trust vs Institutional Trust
- Information Asymmetry
  - Facilitator v Delegate
- Social Capitals
  - Borrowers
    - Trustworthy vs Creditworthy
  - Lenders
    - Relationship vs Financial Model

Regulatory Landscape

- Bank Regulation
  - Lending License (State and Federal)
  - Bank Service Company Act
  - Usury Regulation
  - Funding Bank (FDIC insured banks in non-usury states)
  - Borrower payment dependent note / Notary Model

Regulatory Landscape

- Securities Regulation
  - Securities?:
    - The Howey Test composes of three elements including
      - (1) an investment of money,
      - (2) in a common enterprise, and
      - (3) with an expectation of profits predominantly from the efforts of others.
  - Securities Act / Securities Exchange Act
    - File / Disclose in advance by the platform itself
    - Shelf Registration
      - Abandoning peer features
      - Institutionalization
    - Secondary Market

Regulatory Landscape

- Other Regulations
  - Consumer Protections
    - CFPB
  - Privacy
  - Tax
  - Bankruptcy

Regulatory issues

- Regulating Activities vs Entities
- Securities? : “Arguable” but so what (SEC investigation 2008)
- Lending YES >> solution = partner with bank/renting charter/ rate exportation

Effects on the industry

- Only big players remained
- Become more like a bank
  - Fixed rates on loans instead of auction process
  - Less interpersonal features
  - Institutional Investors

What is New for P2P lending?

- Specialized P2P
  - Upstart: academic variables—colleges attended, area of study, GPA, and standardized test scores
  - SoFi: Alumni-funded lending model that connected students and recent graduates with alumni + academic variables
- Bigger Data/ Less traditional /Conventional
  - Robo-investing for platform lenders
  - Blockchain
    - Database
    - Tokenized settlement system
    - Automated filing
- The OCC's Fintech Charter
  - a special purpose national bank charter
    - supervise on capital, liquidity, and risk management, financial inclusion, and contingency
    - exclude deposit taking
    - Not Practical as they still have be comply with state regulations

How this might inform Thailand

- Infant P2P lending
  - A Lesson Learned
- Social features and common practices in micro finance
  - ROSCAs
- Regulating Activities vs Regulating Entities
- Interesting Thai enterprises: That P2P Lending platform(Balance Sheet) and Online ROSCAs

Q&A